

After that, it's a matter of waiting for price to climb back to 23, the base of the cloud. Notice that price dropped as low as 8.81 in 2013 (a 32% drop below the buy price), which is a substantial potential loss. But cloudbanks are buy-and-hold investments, not short-term swing trades. The hold part means holding your nose and not watching the stock drop.

Anyway, the stock recovered and reached the cloud at D. Sell, right? No. What's the hurry? If the stock is moving up, why not let it coast higher? You can watch the chart, and if the stock on the monthly scale makes a higher low, hold. If it makes a lower low, then sell at the open the following month.